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China Banks

Style rotation drives selloff; CMB the yield bright spot

MSCI China banks and CSI 300 banks corrected 7%/5% in the past month, compared to MSCI China and CSI 300 correcting by 10%/2% in the same period. We observed that in the past month Bloomberg consensus shows FY1 EPS estimates revision of -2.8%/-1.3% for MSCI China banks and CSI 300 banks, respectively. Instead of EPS cuts, we believe style rotation has been the key driver of the share price corrections. Our analysis shows that current dividend yields for SOE banks are not attractive, in both H/A shares. Having that said, if SOE banks further correct 9% in H shares and 6% in A shares, we believe that dividend yield will become attractive and provide strong downside support. **At the current level, we see CMB as an attractive yield name**, with its H share dividend yield (5.4%) almost at par with that of the SOE banks, and its A-share dividend yield (5.6%) 110bps higher than the SOE banks. We see limited downside on relative stock performance, as the room for EPS disappointment seems limited given low expectations and CMB's PB and PE premium over the Big 4 SOE banks being close to the 10Y trough, with its 2026E ROE at a 380bps spread over the Big 4 and its 2026E EPS growth 3% above the Big 4 if we consider the dilution risk of SOE banks.

- Dividend yields for H shares of SOE banks are not attractive, even for Southbound investors:** We estimate that on an ex-tax basis (10% dividend tax for all investors), H share SOE banks are trading at a dividend spread of 40bps against the 10Y UST, below the 10Y mean of 280bps, and thus not attractive for overseas investors. For example, HSBC/STAN offer 6%/7% total return (div + buyback) in 12M, higher than H-share SOE banks' 5.5% on average. Southbound investors may compare the dividend yield (excluding 20% div. tax) to the 10Y CGB. The current dividend spread is 260bps, close to the 10Y average of 220bps (Figure 1). The risk-reward may be more attractive for insurance companies, as they are exempt from dividend tax, and Ping An Insurance is the one most actively investing into China banks. However, its ownership in PSBC, ICBC, CCB, CMB and ABC is above 4%, close to the 5% regulatory threshold (Figure 5), capping Ping An's ability to increase its holdings in these banks. *Having said that, if H share SOE banks' dividend yield reaches 6% (with an ex-tax div spread of ~300bps), implying another 9% downside to share prices, we may see more support for share price performance.*
- A share SOE banks' dividend yield is not attractive, particularly if we consider the dilution risk:** SOE banks' A share 2026 dividend yield and dividend spread are 4.4% and 270bps, higher than the respective 10Y means by ~40bps, so the upside to share prices from the dividend angle is limited in our view. For ICBC and ABC, which could see capital injection in 2H26, we estimate potential DPS dilution of 2% and 7%, respectively, on a full-year basis (Table 1). If we consider the dilution risk, the dividend spread is 260bps for ICBC and 210bps for ABC, vs the respective 10Y mean of 220bps and 240bps. *Having said that, if the dividend spread of SOE banks reaches 300bps, implying 6% share price downside, then we see support for share prices.*

Banks & Financial Services

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- Joint-stock banks' dividend spread is higher than SOE banks, but EPS volatility is a key concern:** We estimate that H-share joint stock banks' dividend spread (ex-20% div tax) against the 10YCGB is 320bps, above the 10Y mean of 190bps. The A share dividend yield reaches 5.7% on average with dividend spread at 400bps, higher than 10Y mean of 130bps. However, investors are unlikely to treat JSBs as dividend stocks, due to higher earnings volatility, on the back of growth risks and capital dilution, as highlighted in Table 2 below.
- CMB has emerged as a dividend name, with its valuation premium vs SOE banks reaching the trough level in the past decade:** On our estimates, CMB-H and A shares are trading at 5.4%/5.6% dividend yield, implying a dividend spread against the 10Y CGB of 370bps/390bps, both higher than the respective 10Y mean of 100bps/90bps. CMB's H share dividend is close to the average for the Big 4 banks of 5.6%, while its A share dividend yield is 140ps higher than the Big 4 average of 4.2%. More importantly, we estimate CMB is the only bank in our coverage that offers above-zero EPS growth throughout the past decade (Table 2). And its high CET 1 buffer (Figure 8) means that the capital dilution risk is low. The key investor pushback to our view of CMB as a dividend name could be stock volatility, which we expect to be low, given low expectations for earnings and an undemanding valuation. Note that the JPM/Bloomberg consensus estimate for CMB's 2026 EPS growth is 3.0%/3.5%. We believe the downside is limited, given slowing of NIM contraction on a y/y basis and the robust capital markets in China supporting its non-NII. Furthermore, on our estimates, CMB's PB and PE premium over the Big 4 banks is close to a decade's trough (Figure 9-Figure 10), despite which its ROE is 380bps higher than the Big 4 average, close to the 10Y mean ROE premium of 400bps. Also, its 2026E EPS growth of 3% is higher than the Big 4 average (0%), if we consider the dilution risks to ICBC and ABC.

Figure 1: H share SOE banks avg dividend yield spread against China 10-year bond yields has been 260bps lately, vs the 10Y average of ~220bps



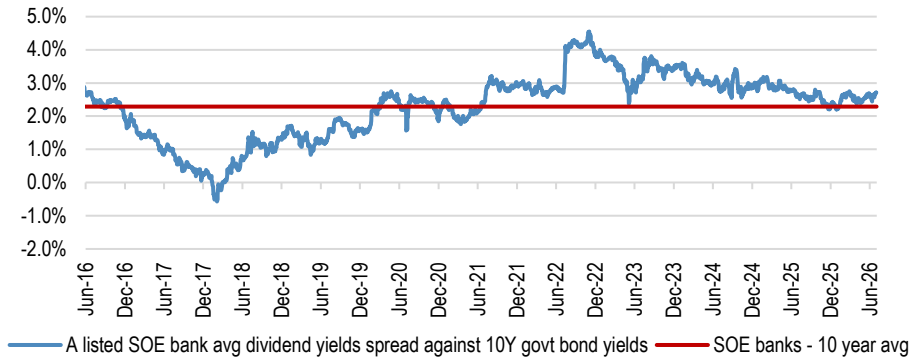
Source: Bloomberg Finance L.P. Data as of July 2, 2026.

Figure 2: H share JSBs' avg dividend yield spread against China 10-year bond yields has been 320bps lately, vs the 10Y average of ~190bps



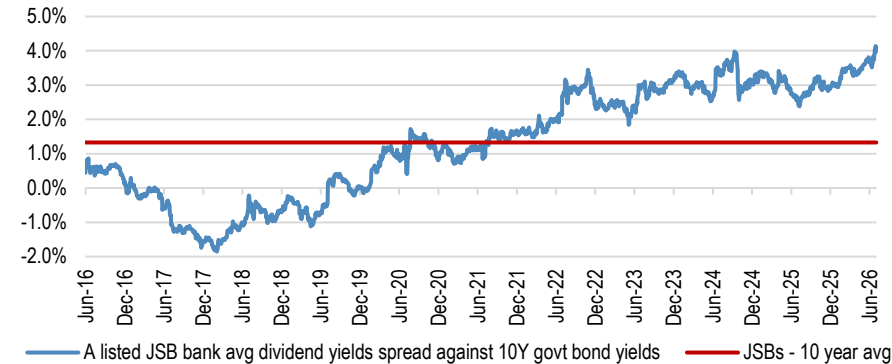
Source: Bloomberg Finance L.P. Data as of July 2, 2026.

Figure 3: A share SOE banks' avg dividend yield spread against China 10-year bond yields has been 270bps lately, vs the 10Y average of ~230bps



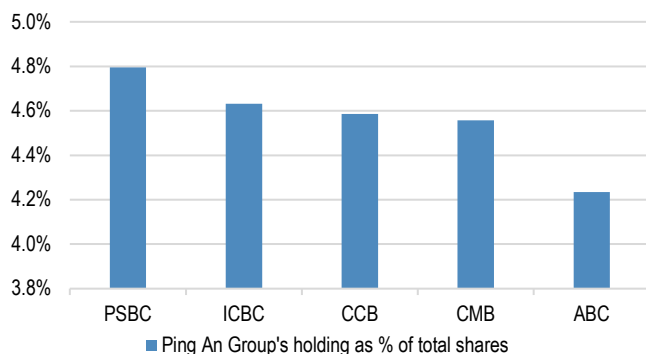
Source: Bloomberg Finance L.P. Data as of July 2, 2026.

Figure 4: A share JSBs' avg dividend yield spread against China 10-year bond yields has been 400bps lately, vs the 10Y average of ~130bps



Source: Bloomberg Finance L.P. Data as of July 2, 2026.

Figure 5: Ping An Group's holdings in ICBC, CCB, CMB, PSBC and ABC are all above 4%, so its further buying capacity is limited



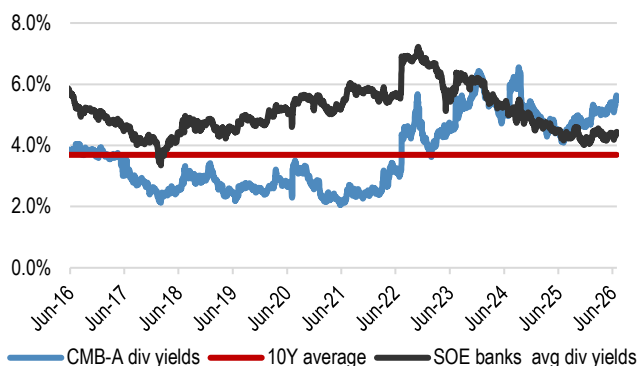
Source: HKEX, SSE. Note: Based on company's disclosures. Ping An Group may have holdings in other China banks that haven't reached the threshold for disclosures.

Table 1: Pro forma impact of the potential capital raising on ABC and ICBC's financials

In Rmb	Raised amount (bn)	2026E EPS			2026E DPS			2026E ROCE			A-sh dividend yield		
		Base	Pro-forma	diff	Base	Pro-forma	diff	Base	Pro-forma	diff	Base	Pro-forma	diff
ABC	235	0.82	0.78	-5.2%	0.26	0.24	-7.3%	9.8%	9.2%	-57 bps	4.4%	4.1%	-32 bps
ICBC	65	1.03	1.01	-1.3%	0.32	0.31	-1.9%	9.2%	9.1%	-11 bps	4.5%	4.4%	-9 bps

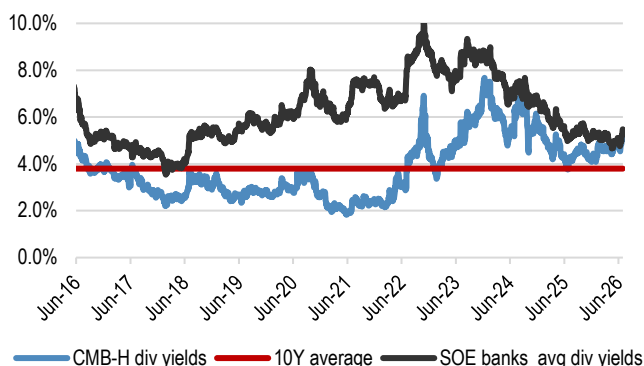
Source: J.P. Morgan estimates. We assume the capital raising is completed by Sep 2026. We assume ABC raises Rmb235bn and ICBC raises Rmb65bn, and the placement price for ABC and ICBC are 15% and 9% above their latest A share closing price as of July 3, 2026.

Figure 6: CMB-A dividend yield is higher than its 10-year average and A share SOE banks' average



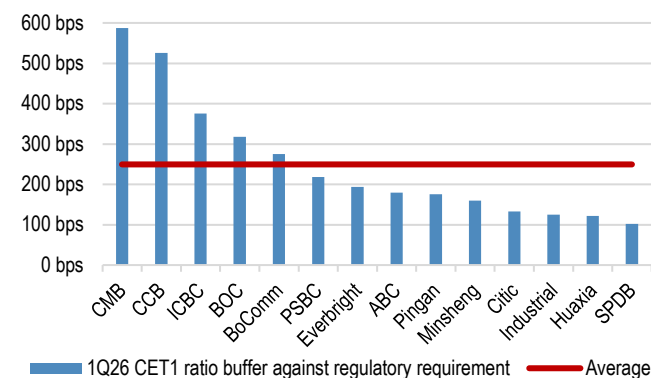
Source: Bloomberg Finance L.P. Data as of July 2, 2026.

Figure 7: CMB-H div yield is higher than its 10yr avg but slightly below H share SOE banks' avg



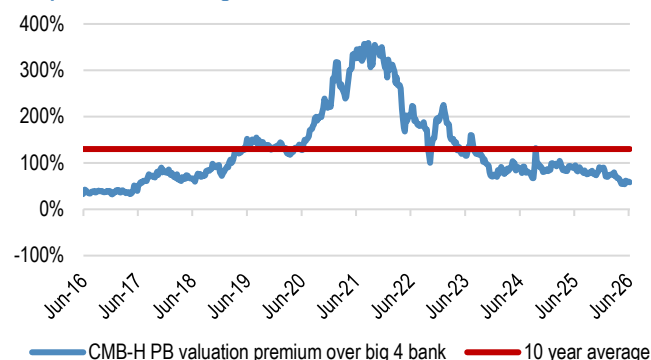
Source: Bloomberg Finance L.P. Data as of July 2, 2026.

Figure 8: CMB has the strongest capital buffer among China banks in our coverage



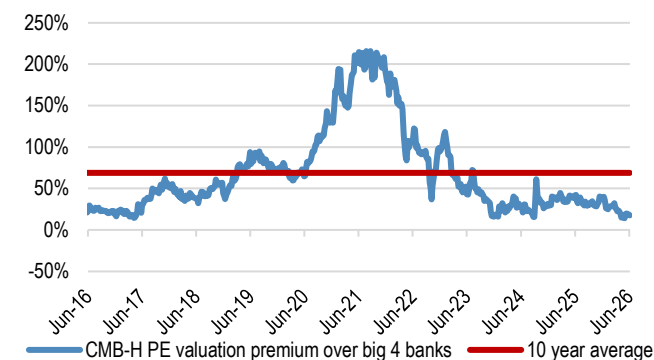
Source: Company reports.

Figure 9: CMB-H is trading at a 58% PB valuation premium over the Big 4 banks, compared to the average level of 130%



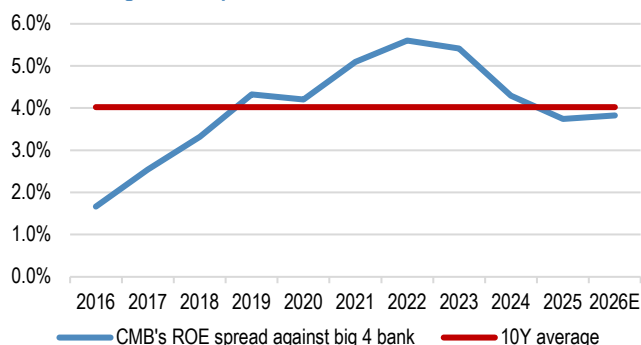
Source: Bloomberg Finance L.P. Data as of July 2, 2026.

Figure 10: CMB-H is trading at an 18% PE valuation premium over the Big 4 banks, compared to the average level of 70%



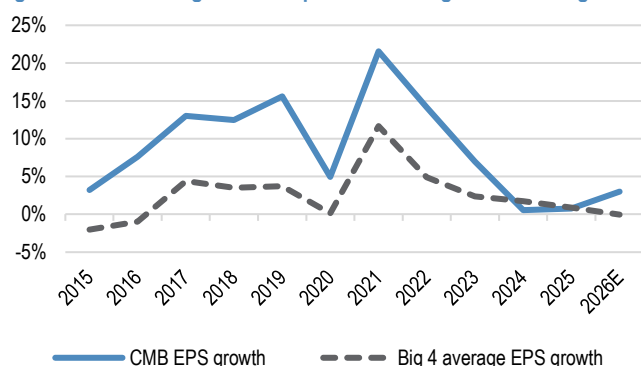
Source: Bloomberg Finance L.P. Data as of July 2, 2026.

Figure 11: CMB's ROE is 380bps higher than the Big 4 average ROE, compared to the 10Y average of 400bps



Source: Company reports, J.P. Morgan estimates.

Figure 12: CMB EPS growth compared to the Big 4 bank average EPS growth



Source: Company reports, J.P. Morgan estimates.

Table 2: China banks' EPS growth – CMB is the only bank we cover to have offered above-zero EPS growth throughout the past decade

EPS growth	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E
ABC*	-1%	1%	5%	1%	1%	-1%	10%	6%	5%	4%	4%	0%
BOC	-7%	-5%	5%	5%	4%	0%	14%	3%	2%	2%	-2%	-1%
CCB	0%	1%	5%	4%	5%	1%	12%	7%	2%	0%	-1%	0%
ICBC*	-1%	0%	3%	4%	5%	0%	10%	2%	1%	1%	2%	1%
PSBC	-12%	-9%	6%	5%	17%	-1%	10%	9%	-2%	-3%	-10%	-7%
BoComm	1%	0%	2%	5%	5%	-1%	11%	3%	1%	1%	-7%	-3%
Citic	1%	-3%	-1%	5%	1%	-3%	14%	8%	8%	5%	0%	3%
CMB	3%	8%	13%	12%	16%	5%	22%	14%	7%	1%	1%	3%
Minsheng	3%	4%	3%	1%	7%	-42%	0%	0%	1%	-11%	-2%	0%
Industrial	6%	5%	1%	2%	7%	-2%	26%	11%	-16%	0%	-1%	2%
Everbright	2%	-1%	3%	-5%	-2%	-1%	8%	3%	-8%	3%	-7%	-3%
SPDB	6%	-10%	-23%	0%	6%	-3%	-14%	-4%	-32%	27%	12%	-5%
Pingan	-10%	-16%	-9%	7%	10%	-9%	23%	27%	2%	-4%	-4%	3%
Huaxia	-5%	-4%	-20%	5%	-12%	-12%	12%	3%	6%	10%	0%	6%
SOE banks avg	-3%	-2%	4%	4%	6%	0%	11%	5%	1%	1%	-2%	-2%
JSB avg	1%	-2%	-4%	4%	4%	-8%	11%	8%	-4%	4%	0%	1%
Sector avg	-1%	-2%	-1%	4%	5%	-5%	11%	7%	-2%	3%	-1%	0%

Source: Company reports, J.P. Morgan estimates. *We assume ABC and ICBC capital raising by Sep. 2026. We expect ABC to raise Rmb235bn and ICBC to raise Rmb65bn; the placement price for ABC and ICBC are 15% and 9% above their latest A share closing prices as of July 3, 2026.

Table 3: A share broker dividend yields spread compared to 10Y average spread

		Latest share price	2026E PB	YTD shr performance	JPMe 2026 dividend yields	Current div spread	10Y avg div spread
601288 CH	ABC*	5.90	0.67	-23%	4.1%	2.5%	2.4%
601988 CH	BOC	5.56	0.63	-3%	4.2%	2.6%	2.4%
601939 CH	CCB	9.49	0.67	2%	4.2%	2.6%	2.1%
601398 CH	ICBC*	7.04	0.61	-11%	4.4%	2.8%	2.2%
601658 CH	PSBC	4.94	0.55	-9%	4.5%	2.8%	2.2%
601328 CH	BoComm	6.51	0.46	-10%	5.3%	3.6%	2.8%
SOE banks avg			0.60	-9%	4.5%	2.8%	2.3%
601998 CH	Citic	6.99	0.50	-9%	5.6%	3.9%	1.8%
600036 CH	CMB	36.83	0.78	-13%	5.6%	4.0%	0.9%
600016 CH	Minsheng	3.28	0.25	-14%	5.7%	4.1%	2.2%
601818 CH	Everbright	2.98	0.31	-15%	5.6%	4.0%	2.0%
000001 CH	Pingan	10.29	0.42	-10%	6.0%	4.4%	-0.4%
601166 CH	Industrial	17.01	0.41	-19%	6.5%	4.9%	1.9%
600000 CH	SPDB	8.69	0.38	-30%	5.0%	3.4%	0.9%
600015 CH	Huaxia	6.66	0.32	-3%	6.6%	5.0%	1.4%
JSB banks avg			0.42	-14%	5.8%	4.2%	1.3%
Sector avg			0.50	-12%	5.2%	3.6%	1.8%

Source: Bloomberg Finance L.P. J.P. Morgan estimates. Data as of July 3, 2026. *We have factored in the impacts of the upcoming capital raising for ABC and ICBC. Please refer to Table 1 for detailed assumptions.

Table 4: H share brokers' dividend yields spread compared to the 10Y average spread

		Latest share price	2026E PB	YTD shr performance	JPMe 2026 dividend yields	Current div spread (for SB investor pay 20% tax)	10Y avg div spread
1288 HK	ABC*	5.30	0.52	-8%	5.3%	2.6%	2.4%
3988 HK	BOC	4.81	0.47	8%	5.6%	2.9%	2.6%
939 HK	CCB	7.78	0.48	1%	5.9%	3.1%	2.2%
1398 HK	ICBC*	6.43	0.48	2%	5.6%	2.9%	2.1%
1658 HK	PSBC	4.54	0.44	-15%	5.6%	2.9%	1.0%
3328 HK	BoComm	6.61	0.41	2%	6.0%	3.1%	2.6%
SOE banks avg			0.47	-2%	5.7%	2.9%	2.2%
998 HK	Citic	6.70	0.42	-3%	6.7%	3.8%	2.7%
3968 HK	CMB	44.20	0.81	-16%	5.4%	2.7%	0.2%
1988 HK	Minsheng	3.21	0.21	-18%	6.7%	3.8%	2.4%
6818 HK	Everbright	2.90	0.26	-20%	6.7%	3.7%	2.7%
JSB banks avg			0.42	-15%	6.4%	3.5%	2.0%
Sector avg			0.45	-7%	6.0%	3.1%	2.1%

Source: Bloomberg Finance L.P. J.P. Morgan estimates. Data as of July 3, 2026. *We have factored in the impacts from the upcoming capital raising for ABC and ICBC. Please refer to Table 1 for detailed assumptions.

Companies Discussed in This Report (all prices in this report as of market close on 03 July 2026, unless otherwise indicated)

China Merchants Bank - A(600036.SS/Rmb36.83/OW), China Merchants Bank - H(3968.HK/HK\$44.20/OW)

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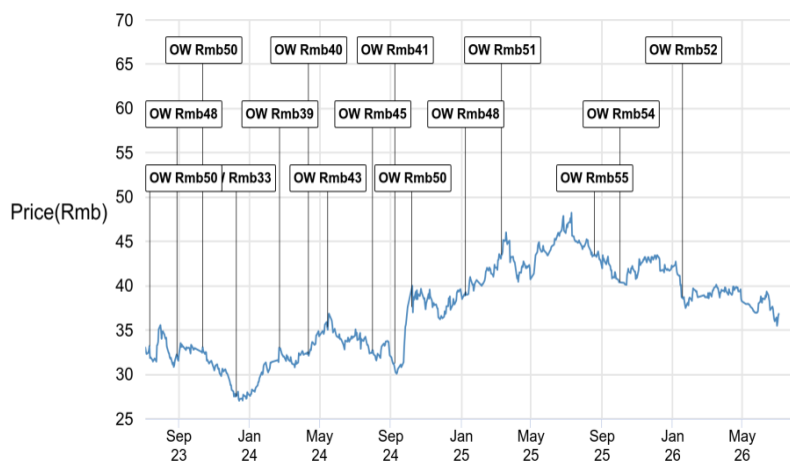
China Merchants Bank - H (3968.HK, 3968 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
05-Jul-23	OW	37.25	57
26-Jul-23	OW	36.00	56
30-Aug-23	OW	31.50	51
13-Oct-23	OW	33.40	53
10-Dec-23	OW	25.40	32
22-Feb-24	OW	31.45	37
12-Apr-24	OW	31.90	39
15-May-24	OW	37.10	44
01-Aug-24	OW	32.50	46
08-Sep-24	OW	30.30	42
08-Oct-24	OW	47.25	58
08-Jan-25	OW	38.45	53
12-Mar-25	OW	47.40	56
19-Aug-25	OW	48.56	61
03-Oct-25	OW	46.48	60
19-Jan-26	OW	47.52	61
22-Apr-26	OW	51.35	62

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Apr 13, 2007. All share prices are as of market close on the previous business day.

China Merchants Bank - A (600036.SS, 600036 CH) Price Chart



Date	Rating	Price (Rmb)	Price Target (Rmb)
13-Jul-23	OW	33.20	50
30-Aug-23	OW	32.04	48
13-Oct-23	OW	33.07	50
10-Dec-23	OW	27.50	33
22-Feb-24	OW	33.00	39
12-Apr-24	OW	32.30	40
15-May-24	OW	35.34	43
01-Aug-24	OW	32.73	45
08-Sep-24	OW	31.25	41
08-Oct-24	OW	37.61	50
08-Jan-25	OW	38.90	48
12-Mar-25	OW	43.51	51
19-Aug-25	OW	43.51	55
03-Oct-25	OW	40.41	54
19-Jan-26	OW	38.72	52

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Aug 04, 2004. All share prices are as of market close on the previous business day.

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